

Nifty Next 50 at 1/100th of the index price. And this unit can be traded during business hours just like a share with the help of a broker (not needed for index mutual funds). Over the last 3 years, it got the 17th return rank out of 128 funds. Over the last 5 years, it got the 9th highest return, but now out of 62 funds. At the time of writing, for the last 10 years (calculated from previous business day), the R*Shares Junior BeES got the 9th highest return out of 42 funds. That is, it beat 33 active funds. Again, what's impressive is that it withstands the test of time while actively managed funds drop dead. Besides surviving, it also currently outperforms $\frac{2}{3}$ of the existing survivor pool!

I point this out only as proof of how effective the Nifty Next 50 fund is. I do not recommend R*Shares Junior BeES as it is an exchange traded fund. Instead, the **ICICI Nifty Next 50 Fund Direct Plan** is an *index fund* and is like any other normal mutual fund and easier to transact with.

Choosing ICICI Nifty Next 50 will keep your fund management expenses low and there is no need to worry about what the fund manager is doing – his job is to track the Nifty Next 50 index and it might end up beating a good number of actively managed mutual funds in the future.

Being a market linked instrument, it will be volatile and cannot be left untended forever. However, such tending can wait. You are decades away from retirement and still have at least 5-6 years to become “responsible” (marriage and parenthood). You can worry about portfolio performance then.

“Active investment management by professionals – in aggregate – would over a period of years underperform the returns achieved by rank amateurs who simply sat still. The massive fees levied by a variety of “helpers” would leave their clients – again in aggregate – worse off than if the amateurs simply invested in an unmanaged low-cost index fund.”

- Warren Buffett

Before you get to jamming the joystick because you lost in FIFA, let's say your contribution toward your EPF account each month is ₹2000 and your employer adds ~ ₹611 (3.67% x 2000/12%) - that would be your fixed income contribution. A good benchmark is to contribute *at least* 150% x 2611 ~ 4000, from your take-home pay into an index equity mutual fund.